CROSS-STATE RECRUITING TEAM

# Market Selection Brief: Q1 Expansion Target States

*Date: 2026-10-25 | Data: Census ACSBR-011 | All amounts in 2021 inflation-adjusted dollars*

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**RECOMMENDATION**

## 1. California (CA) — 2021 Median Household Income: $84,907 (MOE ±$542)

## 2. Washington (WA) — 2021 Median Household Income: $84,247 (MOE ±$844)

### Selection Logic (Standards Applied)

**Standard 1 — Income Threshold:** 2021 point estimate must exceed the national average ($69,717). Excluded (6 states): AZ ($69,056), FL ($63,062), GA ($66,559), OH ($62,262), PA ($68,957), TX ($66,963).

**Standard 2 — Trend Stability:** 2019→2021 change must not be significantly negative at 90% confidence. Excluded (2 states): IL (z=2.175, diff MOE=$845, significant decrease) and NY (z=4.449, diff MOE=$778, significant decrease). Remaining (4 states): CA, WA, CO, VA — all show no significant change.

**Standard 3 — Absolute Ranking:** Among the 4 qualifying states, sorted by 2021 estimate: CA ($84,907) > WA ($84,247) > CO ($82,254) > VA ($80,963). **Top 2 selected: California and Washington.**

### Evidence Summary (selected states + excluded by Standard 2 + benchmark)

| State | 2021 Median | MOE | 2019→21 Diff | z-stat | Diff MOE | Result |
|---|---|---|---|---|---|---|
| **California** | $84,907 | ±$542 | −$341 | 0.883 | $636 | PASS |
| **Washington** | $84,247 | ±$844 | +$857 | 1.091 | $1,292 | PASS |
| **Colorado** | $82,254 | ±$791 | +$517 | 0.738 | $1,153 | PASS |
| **Virginia** | $80,963 | ±$731 | −$63 | 0.090 | $1,154 | PASS |
| **Illinois** | $72,205 | ±$574 | −$1,117 | 2.175 | $845 | FAIL (Sig↓) |
| **New York** | $74,314 | ±$613 | −$2,104 | 4.449 | $778 | FAIL (Sig↓) |
| **U.S. Avg** | $69,717 | ±$134 | +$78 | 0.423 | $184 | (Benchmark) |

### Critical Data Limitations

- **Household income ≠ job salary:** Median household income includes all household members' pre-tax cash income (wages, self-employment, Social Security, transfer payments, etc.). It is a proxy for regional purchasing power and macroeconomic vitality, not a benchmark for specific position compensation. Recruiting decisions should not directly translate these figures into salary offers.
- **MOE meaning:** The 90% margin of error (MOE) defines a range within which the true population value likely falls. For example, California's $84,907 ± $542 means the true median is likely between $84,365 and $85,449. MOEs should not be used for simple overlap comparisons — formal z-tests (as applied here) are required.
- **"Not significant" ≠ "no change":** A non-significant result means the observed difference could plausibly be due to sampling variability. It does not prove the values are identical. Decision-makers should treat these as uncertain estimates, not precise measurements.
- **Data scope:** All figures are in 2021 inflation-adjusted dollars; no CPI-U-RS conversion was applied (the factor 1.05976096 applies only to data originally in 2019 dollars). 2020 ACS experimental estimates are excluded per Census guidance. Tests are individual-state approximations; no multiple-comparison correction was applied.

*Sources: Census ACSBR-011 (Gloria Guzman, Oct 2022); ACS General Handbook Ch.4 & Ch.7; 2021 Comparison Guide. Prepared for internal analysis only.*